

ferred shares issued, thus obviating the complication presented by differences between book value and market value. Where the company has no senior securities, or only a small amount, the issuance of preferred stock to represent reinvested earnings will not weaken the capital structure.

In 1934 General Electric Company determined that its working-capital position was so comfortable as to permit the retirement of the entire issue of special stock, which was accordingly redeemed in April 1935. This may be said to represent the ideal arrangement from the stockholder's standpoint in dealing with undistributed earnings. The two steps involved are as follows:

1. In prosperous years earnings are retained for expansion or added working capital, but the stockholders receive preferred shares periodically to represent a portion thereof.
2. If subsequent business developments show that the additional capital is no longer needed, it is paid out to the stockholders through the redemption of their preferred shares.

The Foregoing Summarized. Our conception of suitable dividend policies, discussed at length in this and the preceding chapter, may be summed up in the following three statements:¹³

1. Withholding and reinvestment of a substantial part of the earnings must be clearly justified to the stockholders on the grounds of concrete benefits therefrom exceeding the value of the cash if paid to the stockholders. Such withholding should be specifically approved by the stockholders.
2. If retention of profits is in any sense a matter of necessity rather than choice, the stockholders should be advised of this fact, and the amounts involved should be designated as "reserves" instead of as "surplus profits."
3. Earnings voluntarily retained in the business should be capitalized in good part by the periodic issuance of additional stock, with current market value not exceeding such reinvested earnings. If the additional capital is subsequently found no longer to be needed in the business, it should be distributed to the shareholders against the retirement of the stock previously issued to represent it.

¹³ For some interesting legal aspects of the power to declare or withhold dividends see A. A. Berle and G. C. Means, *The Modern Corporation and Private Property*, pp. 260–263, New York, 1932.